



PANEL DISCUSSION

Choosing the best

A panel discussion throws up a few surprises

It's been a decade since our award began; yet choosing a best bank among its peers continues to remain an arduous task. Sure, a bank can be judged by performance, but how do you factor in intangibles: brand building, or for that matter, positioning and innovation?

Indeed, it is impossible to judge the best bank by numbers alone. This year, Abu Dhabi Commercial Bank, for instance, grew over a 1,000 per cent in net profit (Rs28 crore), the highest growth rate in the industry. And Barclays India grew 4,300 per cent in advances to Rs7,635 crore, also the highest. Both, however, are yet too small to even be considered among the toppers.

Moreover, there's been a sea change in the banking industry, since

our panel met last year. This year's selection was made in nothing less than extraordinary circumstances. At a time when banks around the world are falling fast, our panel was asked to stick its neck out and name an Indian bank to be the best in class.

This would have been an easier task to perform in happier times – when almost every bank expanded its book and grew rapidly. In an economic slowdown, however, quality of advances takes centre stage. Raising of low cost deposits, and terms like NPA (non-performing asset) management and risk management become new mantras. This is a time when a traditional policy, that blends growth with conservatism, is a matter for celebration. This is a time when the 'perfect' banker can stand up and ask, where's

the slowdown?

The panellists to choose bank this year included A.K. managing director, India Advisors; Ajay Srinivasan, CE (financial services), Aditya Birla Munesh Khanna, managing Anagram Stock Broking; Shah, managing director, E Capital and Sameer Sain, director, Future Capital. The ment process started with par like size, growth, return or and NPA management – a sustainability.

Quality of growth, for it can be measured in growth or net profits and deposits. Q assets can be measured t return on earnings, return or and net interest margin, and



of the balance sheet through the percentage of CASA (current account, savings account) deposits with a bank; and degrowth in NPAs through the level of capital adequacy ratio maintained. Then, there are the all-important criteria – such as innovation and reputation – which cannot be captured in numbers.

The top 20 banks by total assets, thus, formed the foundation, to start with. The only exception to this rule was Kotak Mahindra Bank, taking the list to 21. Axis Bank topped this year in growth of assets; Standard Chartered topped in return on earnings and return on assets; IDBI Bank topped in growth in deposits; Citibank India in net profit growth and HDFC Bank topped in CASA ratio.

The comparison of all banks against these parameters, when put side by side, always throws up some surprises. Some banks appear consistently through all lists. This comparison brought our master list down to seven, plus seven. Those in the top seven included Axis Bank, State Bank of India, HDFC Bank, HSBC India, Bank of India, Indian Bank, and Union Bank of India. And the second list of seven included Standard Chartered, Kotak, Citibank India, Punjab National Bank, Allahabad Bank, Corporation Bank (and ICICI Bank too).

At this point, Axis Bank was dropped from the list, since it was the winner of this award last year. A large private sector bank was brought up next but, besides being among the largest banks in India, it had little to offer. Its market capitalisation, for one, had eroded dramatically (only a year ago, a panellist had remarked: "In two years, this bank could be bigger than India's biggest")!

The discussion moved on to another smaller private sector bank, which had performed well over the previous year. But this bank's capital adequacy ratio, at 20 per cent, was far too high for comfort. Moreover, while it had been doing a good job – this was still really an investment bank, with a commercial bank attached to it.

The focus next shifted to foreign banks. Low-cost deposits for foreign banks are better analysed when compared to total liabilities, instead of total assets. This is because most foreign banks operate on call money, and some hold large sums of FII (foreign institutional investor) money, which appear as low cost on the balance sheet, but rarely yield any interest.

Getting back to the foreign banks, this year, Citibank India's local opera-

banks' advances and it will be some-time before the management could clear its books. Another public sector bank, it was found, had not done much over the past year to qualify to be the best in class. At the end of this round of discussion, the list of banks reduced to the top four: Bank of India, HDFC Bank, HSBC and Union Bank of India.

Union Bank of India has been on a roll this year. Apart from a large brand building exercise, its assets have grown by 20 per cent; it has the seventh largest deposits in the country, growing at 22 per cent per annum. And its net profit grew 64 per cent this year to Rs1,400 crore. Bank of India, on the other hand, has been a silent performer. Despite its large overseas presence, and being a public sector entity, its expansion has been conservative. While its net profit had nearly doubled this year, it had grown at around 30 per cent, in assets, advances and deposits.

Then there was HSBC India, traditionally seen as the third foreign bank in the country, which this year, for the first time, beat Standard Chartered in total deposits. In total assets it is now the 17th

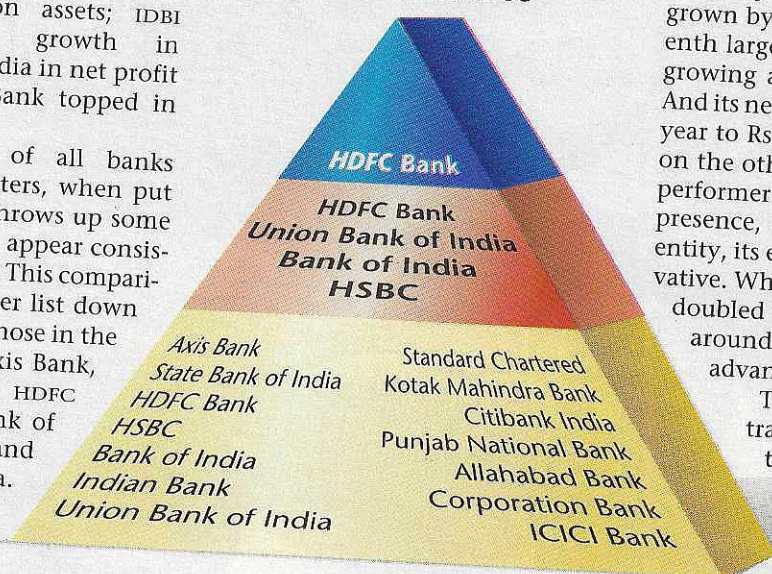
biggest bank in the country, and has a 41 per cent jump in net profit this year.

But, last in the list was a bank that has shown consistent growth over the past five years. This was a bank known in the industry for being conservative. It had grown through acquisitions, and had successfully done so. It had raised low cost deposits throughout, which is today nearly half of all deposits it holds. It has a risk management practice in place, and business at this bank "starts with NPA management". While it never had a presence in investment banking, baby steps have just been taken. While it never had an international presence, a new strategy is underway.

It took little discussion for the panel to choose HDFC Bank as *Business India's* Best Bank for 2008.

♦ RYAN RODRIGUES

The shortlist



tions has performed remarkably well, with net profit almost doubling to Rs1,000 crore. It is now the largest foreign bank in India, in deposits, advances, net profit and total assets. Yet, in the current scenario, the panel found it impossible to judge the performance of a foreign bank's Indian operation in isolation with its parent's business. Standard Chartered, on the other hand, while high on return on assets and return on earnings, had fallen in comparative parameters to both Citibank and HSBC India.

Among the public sector banks, two stood out. One had a new managing director, who had performed remarkably well in his previous role. Moreover, with his track record, this ambitious manager has bigger plans for the future. There were questions, however, raised on the quality of the